Type MS · Irrecoverable debts and the provision for irrecoverable debts: why and how they differ

Answer 1 of 13 · Question 1 part b · 5 marks

2024 NOV · Paper 02 · extract 1 of 3 · find part b in this mark scheme extract

Number		
1(a)(i)	**Award marks as indicated.** $67 350 **(4)W** **W** $48 200 **+** $235 000 **(1) –** $850 **(1) –** $215 000 **(1)** = $67 350 **(1)** **Alternative presentation**	**(4)**

	$		$
Balance b/d	48 200	Irrecoverable debt	850 **(1)**
Sales	235 000 **(1)**	Receipts	215 000 **(1)**
		Balance c/d	67 350
	283 200		283 200
Balance b/d	67 350 **(1)**		

Question Number	Answer	Mark
(ii)	**Award marks as indicated.** $42 250 **(3) W** **W** $37 500 + $139 875 **(1) – $**135 125 **(1)** = $42 250 **(1)** **Alternative presentation**	**(3)**

	$		$
Payments	135 125 **(1)**	Balance b/d	37 500
Balance c/d	42 250	Purchases	139 875 **(1)**
	177 375		177 375
		Balance b/d	42 250 **(1)**

Type MS · Irrecoverable debts and the provision for irrecoverable debts: why and how they differ

Answer 1 of 13 · Question 1 part b · 5 marks

2024 NOV · Paper 02 · extract 2 of 3 · find part b in this mark scheme extract

Question Number	Answer	Mark
(iii)	**Award marks as indicated.**	

Romala
Statement of Financial Position at 31 August 2024

		$	$
Assets			
Non-current assets			
Motor vehicles			22 500 **(1)**
Current assets			
Inventory		32 600 **(1)**	
Trade receivables		67 350	
Other receivables		950 **(1)**	
Cash at bank	**W1**	43 950 **(3)**	
			144 850
Total assets			167 350 **(1)**
Equity and liabilities			
Equity			
At 1 September 2023	**W2**	100 000 **(3)**	
Profit for the year		47 000 **(1)**	
Drawings		(21 900) **(1)**	
Total equity			125 100
Current liabilities			
Trade payables			42 250
Total equity and liabilities			167 350 **(1)**

(13)

Workings

W1
$21 550 + $215 000 **(1)** – $192 600 **(1)** = $43 950 **(1)**

W2
$139 250 **(1)** - $39 250 **(1)** = $100 000 **(1)**

Type MS · Irrecoverable debts and the provision for irrecoverable debts: why and how they differ

Answer 1 of 13 · Question 1 part b · 5 marks

2024 NOV · Paper 02 · extract 3 of 3 · find part b in this mark scheme extract

Question Number	Answer	Mark
1(b)	**Award up to 2 marks for a discussion of each concept.** **Award 1 mark for conclusion.** **Sample answer** By creating a provision for irrecoverable debts Romala will be complying with the prudence concept **(1)** as she will not be overstating either her profit for the year or the value of her trade receivables/current assets **(1)** She will also be complying with the matching concept **(1)** as the possible loss of income from irrecoverable debts will be matched with the revenue earned in that period **(1)** I would advise Romala to proceed with her proposal in order to have a more accurate set of financial statements **(1)** **Accept any other appropriate responses**	**(5)**

TOTAL FOR QUESTION 1 = 25 MARKS

Type MS · Irrecoverable debts and the provision for irrecoverable debts: why and how they differ

Answer 2 of 13 · Question 18 part e · 3 marks

2023 JUN · Paper 01 · extract 1 of 3 · find part e in this mark scheme extract

18(a)	**Award marks as indicated.** An irrecoverable debt is a specific amount owing to a business which will not be paid. **(1)** A provision for irrecoverable debts is an estimate of the amount which a business may lose due to irrecoverable debts. **(1)** **Accept any other appropriate responses**	**(2)**

Question Number	Answer	Mark
18(b)	**Award mark as indicated.** 4% **(1)**	**(1)**

Question Number	Answer	Mark
18(c)(i)	**Award mark as indicated.** $20 750 **(1)**	**(1)**

Question Number	Answer	Mark
18(c)(ii)	**Award mark as indicated.** $830 **(1of)**	**(1)**

Type MS · Irrecoverable debts and the provision for irrecoverable debts: why and how they differ

Answer 2 of 13 · Question 18 part e · 3 marks

2023 JUN · Paper 01 · extract 2 of 3 · find part e in this mark scheme extract

Question Number	Answer	Mark
18(c)(iii)	**Award marks for correct dates, details and amounts in combination. Award 1 mark for label (Income statement) as indicated.**	**(4)**

Provision for Irrecoverable Debts Account

Date	Details	$	Date	Details	$
30 April	Balance c/d	830	1 May	Balance b/d	744 **(1)**
			30 April	Income statement **(1)**	86 **(1)**
		830			830
			1 May	Balance b/d	830 **(1of)**

Question Number	Answer	Mark
18(d)	**Award marks as indicated.**	**(2)**

Account	Non-current assets	Current assets	Non-current liabilities	Current liabilities
Provision for depreciation	✓ **(1)**			
Provision for irrecoverable debts		✓ **(1)**		

Question Number	Answer	Mark
18(e)	**Award 1 mark for identification and up to 2 marks for development.** **Sample answer** Prudence concept states profits/assets should not be overstated **(1)** Creating a provision **profit for the year** will not be overstated **(1)** and **trade receivables/current assets** will not be overstated. **(1)** **Accept any other appropriate responses.**	**(3)**

Type MS · Irrecoverable debts and the provision for irrecoverable debts: why and how they differ

Answer 2 of 13 · Question 18 part e · 3 marks

2023 JUN · Paper 01 · extract 3 of 3 · find part e in this mark scheme extract

Question Number	Answer	Mark
18(f)	**Award mark as indicated. Max 1 mark.** Cash sales only **(1)** Strict credit control **(1)** **Accept any other appropriate response.**	**(1)**

TOTAL FOR QUESTION 18 = 15 MARKS

Type MS · Irrecoverable debts and the provision for irrecoverable debts: why and how they differ

Answer 3 of 13 · Question 17 part e · 5 marks

2020 NOV · Paper 01 · extract 1 of 2 · find part e in this mark scheme extract

17 (a)	**Award marks as indicated.** **Account** / **Debit** / **Credit** Trade receivables control / ✓ **(1)** Irrecoverable debts / ✓ **(1)**	**(2)**

Question Number	Answer	Mark
17 (b)	**Award marks as indicated.** Prudence **(1)** Accruals or matching **(1)**	**(2)**

Type MS · Irrecoverable debts and the provision for irrecoverable debts: why and how they differ

Answer 3 of 13 · Question 17 part e · 5 marks

2020 NOV · Paper 01 · extract 2 of 2 · find part e in this mark scheme extract

Question Number	Answer	Mark
17 (c)	**Award marks as indicated.** **$** Net trade receivables 42 140 **(1)** X 5% Provision at 29 February 2020 2 107 **(1of)**	**(2)**

Question Number	Answer	Mark
17 (d)	**Award 1 mark for figures plus 1 mark for correct dates and details.** **Provision for Irrecoverable Debts Account**	**(4)**

Date	Details	$	Date	Details	$
2020 Feb 29	Balance c/d	2 107	2019 Mar 1	Balance b/d	1 845 **(1)**
			2020 Feb 29	Income statement	262 **(1of)**
		2 107			2 107
			Mar 1	Balance b/d	2 107 **(1of)**

Question Number	Answer	Mark
17 (e)	**Award up to 4 marks for comments related to the reasons why it is necessary for a business to create a provision for irrecoverable debts and 1 mark for conclusion.** **For example** A business should create a provision because some amounts owing will not be received **(1)**. The effect of this will be to overstate profit for the year and trade receivables in the financial statements **(1).** This enables a business to make informed decisions **(1)** by anticipating possible future losses as soon as they become aware of them **(1).** Overall, the business will benefit from the introduction of this provision **(1).** **Accept any other appropriate responses.**	**(5)**

Type MS · Irrecoverable debts and the provision for irrecoverable debts: why and how they differ

Answer 4 of 13 · Question 17 part a · 2 marks

2021 JUN · Paper 01 · extract 1 of 2 · find part a in this mark scheme extract

17(a)	**Award 1 mark for identification plus 1 mark for development.** To take account of the likelihood that some debtors will not be able to pay the amount due **(1),** which ensures compliance with the prudence concept **(1).** **Accept any other appropriate responses.**	**(2)**

Question Number	Answer	Mark
17(b)(i)	**Award mark as indicated.** Other payables — Other receivables — ✓ **(1)** Provision —	**(1)**

Question Number	Answer	Mark
17(b)(ii)	**Award marks as indicated.** Other payables — ✓ **(1)** Other receivables — Provision —	**(1)**

Type MS · Irrecoverable debts and the provision for irrecoverable debts: why and how they differ

Answer 4 of 13 · Question 17 part a · 2 marks

2021 JUN · Paper 01 · extract 2 of 2 · find part a in this mark scheme extract

<table>
<tr><th>Question Number</th><th>Answer</th><th>Mark</th></tr>
<tr><td>17(c)</td><td>Award marks as indicated.
<table>
<tr><th></th><th>Current assets</th><th>Non-current assets</th><th>Current liabilities</th><th>Non-current liabilities</th></tr>
<tr><td>Other payables</td><td></td><td></td><td>✓ (1)</td><td></td></tr>
<tr><td>Other receivables</td><td>✓ (1)</td><td></td><td></td><td></td></tr>
<tr><td>Provision for irrecoverable debts</td><td>✓ (1)</td><td></td><td></td><td></td></tr>
</table></td><td>(3)</td></tr>
</table>

<table>
<tr><th>Question Number</th><th>Answer</th><th>Mark</th></tr>
<tr><td>17(d)</td><td>Award marks as indicated.
<table>
<tr><th>Transaction</th><th>Source document</th><th>Book of original entry</th></tr>
<tr><td>Paid bank charges</td><td>Bank statement (1)</td><td>Cash book (1)</td></tr>
<tr><td>Returned damaged goods to a credit supplier</td><td>(Purchase) credit note (1)</td><td>Purchases returns day book (1)</td></tr>
<tr><td>Purchased a new motor vehicle on credit</td><td>Invoice (1)</td><td>(General) journal (1)</td></tr>
<tr><td>Payment to a supplier by credit transfer</td><td>Remittance advice (1)</td><td>Cash book (1)</td></tr>
</table></td><td>(8)</td></tr>
</table>

TOTAL FOR QUESTION 17 = 15 MARKS

Type MS · Irrecoverable debts and the provision for irrecoverable debts: why and how they differ

Answer 5 of 13 · Question 10 part whole · 1 mark

2024 JUN · Paper 01 (regional R) · extract 1 of 2 · find part whole in this mark scheme extract

10	**D When assessing the chances of irrecoverable debts**	**(1)**

TOTAL FOR QUESTIONS 1-10 = 10 MARKS

Type MS · Irrecoverable debts and the provision for irrecoverable debts: why and how they differ

Answer 5 of 13 · Question 10 part whole · 1 mark

2024 JUN · Paper 01 (regional R) · extract 2 of 2 · find part whole in this mark scheme extract

Question Number	Answer	Mark

Type MS · Irrecoverable debts and the provision for irrecoverable debts: why and how they differ

Answer 6 of 13 · Question 2 part d.i · 2 marks

2021 JUN · Paper 02 · extract 1 of 5 · find part d.i in this mark scheme extract

2(a) **Award marks as indicated.**

Amira
Statement of affairs at 1 April 2020

Assets	**$**	**$**	**$**
Non-current assets	**Cost**	**Accumulated depreciation**	**Carrying value**
Land	31 670	-	31 670
Motor vehicle	40 000	19 520	20 480
	71 670	19 520	52 150 **(1)**
Current assets			
Inventory		21 500	
Trade receivables		34 500	
Other receivables		1 500	
Cash at bank		1 350	
			58 850
Total assets			111 000 **(1)**
Equity and liabilities			
Total equity			79 000 **(1of)**
Current liabilities			
Trade payables			32 000 **(1)**
Total equity and liabilities			111 000

(4)

Additional Guidance

of = own figure. Accuracy mark can be awarded where the candidate's answer does not match the mark scheme, though is accurate based on the correct method.

Type MS · Irrecoverable debts and the provision for irrecoverable debts: why and how they differ

Answer 6 of 13 · Question 2 part d.i · 2 marks

2021 JUN · Paper 02 · extract 2 of 5 · find part d.i in this mark scheme extract

Question Number	Answer	Mark
2(b)	**Award marks as indicated.**	(11)

Amira
Statement of Affairs at 31 March 2021

Assets	**$**	**$**	**$**
Non-current assets	**Cost**	**Accumulated depreciation**	**Carrying value**
Land	31 670	-	31 670
Motor vehicle	50 000	10 000 **(1)**	40 000 **(1of)**
	81 670	10 000	71 670 **(1of)**
Current assets			
Inventory		24 000	
Trade receivables	35 000 **(1)**		
Provision for irrecoverable debts	(1 750) **(1of)**	33 250	
			57 250 **(1of)**
Total assets			128 920
Equity and liabilities			
Total equity			56 270 **(1of)**
Non-current liabilities			
Loan			30 000 **(1)**
Current liabilities			
Loan			10 000 **(1)**
Trade payables			31 000
Bank overdraft			1 650 **(1)**
			42 650
Total liabilities			72 650
Total equity and liabilities			128 920 **(1of)**

Additional Guidance of = own figure. Accuracy mark can be awarded where the candidate's answer does not match the mark scheme, though is accurate based on the correct method.

Type MS · Irrecoverable debts and the provision for irrecoverable debts: why and how they differ

Answer 6 of 13 · Question 2 part d.i · 2 marks

2021 JUN · Paper 02 · extract 3 of 5 · find part d.i in this mark scheme extract

<table>
<tr><th>Question Number</th><th>Answer</th><th>Mark</th></tr>
<tr><td>2(c)</td><td>Award 1 mark for each correct figure plus 1 mark for all correct dates (any format) and details.

Equity Account
<table>
<tr><th>Date</th><th>Details</th><th>$</th><th>Date</th><th>Details</th><th>$</th></tr>
<tr><td>31 March</td><td>Drawings</td><td>30 000 (1)</td><td>1 April</td><td>Balance b/d</td><td>79 000 (1of)</td></tr>
<tr><td></td><td>Balance c/d</td><td>56 270</td><td>31 March</td><td>Income statement/ profit for the year</td><td>7 270 (1of)</td></tr>
<tr><td></td><td></td><td>86 270</td><td></td><td></td><td>86 270</td></tr>
<tr><td></td><td></td><td></td><td>1 April</td><td>Balance b/d</td><td>56 270 (1of)</td></tr>
</table></td><td>(5)</td></tr>
<tr><td colspan="3">Additional Guidance

of = own figure. Accuracy mark can be awarded where the candidate's answer does not match the mark scheme, though is accurate based on the correct method.

Accept split figures for drawings.</td></tr>
</table>

Type MS · Irrecoverable debts and the provision for irrecoverable debts: why and how they differ

Answer 6 of 13 · Question 2 part d.i · 2 marks

2021 JUN · Paper 02 · extract 4 of 5 · find part d.i in this mark scheme extract

Question Number	Answer	Mark
2(d)(i)	**Award 1 mark for identifying the concept plus 1 mark for development.** **Sample answers** **Prudence (1)** Introducing a provision for irrecoverable debts, ensures that her profit for the year/trade receivable are not overstated **(1)**. **OR** **Accruals/matching (1)** Introducing a provision for irrecoverable debts, ensures that the amount of sales which are unlikely to be paid are regarded as an expense in a year of sale **(1)**.	**(2)**

Type MS · Irrecoverable debts and the provision for irrecoverable debts: why and how they differ

Answer 6 of 13 · Question 2 part d.i · 2 marks

2021 JUN · Paper 02 · extract 5 of 5 · find part d.i in this mark scheme extract

Question Number	Answer	Mark
2(d)(ii)	**Award 1 mark for identifying the concept plus up to 2 marks for development.** **Sample answers** **Accruals/matching (1)** This method is used for motor vehicle that have lower maintenance cost / greater benefits achieved in the earlier years **(1)** which ensures that the revenue of the accounting period is matched against the cost of the same period **(1)**. **OR** **Consistency (1)** Once a method has been selected it must be used consistently from one accounting period to the next **(1)** to ensure comparability of financial results **(1)**.	**(3)**

(Total for Question 2 = 25 marks)

Type MS · Irrecoverable debts and the provision for irrecoverable debts: why and how they differ

Answer 7 of 13 · Question 2 part c.i · 3 marks

2022 JUN · Paper 02 (regional R) · extract 1 of 3 · find part c.i in this mark scheme extract

2(a)

Award marks as indicated.

Ali

Income statement for the year ended 30 April 2022

		$	$
Income			72 160 **(1)**
Wages		15 710 **(1)**	
Fuel	**W1**	8 310 **(2)**	
Insurance		550 **(1)**	
Depreciation		6 000 **(1)**	
Office rent and rates	**W2**	7 200 **(2)**	
Irrecoverable debts		70 **(1)**	
Provision for irrecoverable debts		20 **(1)**	
Bank interest		40 **(1)**	37 900
Profit for the year			34 260 **(1of)**

W1 $8 310 **(2)**

$8 140 + ($480 - $310) **(1)** = $8 310 **(1of)**

W2 $7 200 **(2)**

$7 800 + ($600 - $1 200) **(1)** = $7 200 **(1of)**

(12)

Type MS · Irrecoverable debts and the provision for irrecoverable debts: why and how they differ

Answer 7 of 13 · Question 2 part c.i · 3 marks

2022 JUN · Paper 02 (regional R) · extract 2 of 3 · find part c.i in this mark scheme extract

Question number	Answer	Mark
2(b)	**Award marks as indicated.**	**(8)**

Ali
Statement of financial position at 30 April 2022

Assets	**$**	**$**	**$**
Non-current assets	**Cost**	**Accumulated depreciation**	**Carrying value**
Motor vehicle	34 000	18 000	16 000 **(1of)**
Current assets			
Trade receivables	3 200		
Provision for irrecoverable debts	(160)	3 040 **(1of)**	
Other receivables		1 310	4 350 **(1of)**
Total assets			20 350
Equity and liabilities			
Equity			
Opening equity		17 100 **(1)**	
Profit for the year		34 260	
Drawings		(35 350)	
Total equity			16 010 **(1of)**
Non-current liabilities			
Bank loan			1 800 **(1)**
Current liabilities			
Other payables		480	
Bank overdraft		2 060	
			2 540 **(1)**
Total liabilities			4 340
Total equity and liabilities			20 350 **(1of fb)**

Type MS · Irrecoverable debts and the provision for irrecoverable debts: why and how they differ

Answer 7 of 13 · Question 2 part c.i · 3 marks

2022 JUN · Paper 02 (regional R) · extract 3 of 3 · find part c.i in this mark scheme extract

Question number	Answer	Mark
2(c)(i)	**Award 1 mark for explaining the concept plus marks as indicated for development.** **Sample answer** Prudence concept states that profits and assets should not be overstated and losses and liabilities should not be understated**(1)**. Writing off an irrecoverable debt ensures that the net profit/profit for the year is not overstated **(1)** and trade receivables are not overstated **(1)**. **Accept any other appropriate responses.**	**(3)**

Question number	Answer	Mark
2(c)(ii)	**Award 1 mark for explaining the concept plus 1 mark as indicated for development.** **Sample answer** Accruals concept states that revenue of the accounting period should be matched against the costs of the same period whether paid or not **(1)**. Providing for depreciation ensures that the costs of the motor vehicle are matched with the income/benefits earned during the same period **(1).** **Accept any other appropriate responses.**	**(2)**

(Total for Question 2 = 25 marks)

Type MS · Irrecoverable debts and the provision for irrecoverable debts: why and how they differ

Answer 8 of 13 · Question 1 part c.i · 3 marks

2022 JUN · Paper 02 · extract 1 of 3 · find part c.i in this mark scheme extract

1(a)

Award marks as indicat

Sajjan Income statement for the year ended 30 April 2022		
	$	**$**
Revenue / Sales 165 200 **(1) or** 216 900 **(2)**		216 900 **(2)**
Cost of sales		
Purchases 104 200 **(1) or** 146 700 **(2)**	146 700 **(2)**	
Closing inventory	(36 000)	
		(110 700)
Gross profit		106 200 **(1of)**
Expenses		
Office expenses	18 975	
Motor expenses	5 000	
Rent and rates	13 200 **(1)**	
Wages and salaries	31 000 **(1)**	
Provision for irrecoverable debts	2 585 **(1)**	
Depreciation - motor vehicle	2 000 **(1)**	
		(72 760)
Profit for the year		33 440 **(1)**

(10)

Type MS · Irrecoverable debts and the provision for irrecoverable debts: why and how they differ

Answer 8 of 13 · Question 1 part c.i · 3 marks

2022 JUN · Paper 02 · extract 2 of 3 · find part c.i in this mark scheme extract

Question number	Answer	Mark
1(b)	**Award marks as indicated.**	**(10)**

Sajjan
Statement of financial position at 30 April 2022

Assets	**$**	**$**
Non-current assets		
Motor vehicle		38 000 **(1)**
Current assets		
Inventory		36 000
Trade receivables	51 700	
Provision for irrecoverable debts	2 585	
		49 115 **(1)**
Other receivables		1 400
		86 515 **(1)**
Total assets		124 515 **(1of)**
Equity and liabilities		
Equity		
Capital introduced	75 000	
Profit for the year	33 440 **(1of)**	
Drawings	(31 750) **(1)**	
Total equity		76 690 **(1of)**
Current liabilities		
Trade payables		42 500
Other payables		2 100
Bank overdraft		3 225 **(1)**
		47 825 **(1)**
Total equity and liabilities		124 515 **(1of)**

Type MS · Irrecoverable debts and the provision for irrecoverable debts: why and how they differ

Answer 8 of 13 · Question 1 part c.i · 3 marks

2022 JUN · Paper 02 · extract 3 of 3 · find part c.i in this mark scheme extract

Question number	Answer	Mark
1(c)(i)	**Award 1 mark for explaining the concept plus marks as indicated for development.** **Sample answer** Prudence concept states that profits and assets should not be overstated and losses and liabilities should not be understated**(1)**. Maintaining a provision for irrecoverable debts ensures that the profit for the year is not overstated **(1)** and trade receivables are not overstated **(1)**.	**(3)**

Question number	Answer	Mark
1(c)(ii)	**Award 1 mark for explaining the concept plus marks as indicated for development.** **Sample answer** Accruals concept states that revenue of the accounting period should be matched against the costs of the same period whether paid or not **(1)**. Maintaining a provision for irrecoverable debts ensures that the amount of sales which are unlikely to be paid are regarded as an expense in the year of sale **(1).**	**(2)**

(Total for Question 1 = 25 marks)

Type MS · Irrecoverable debts and the provision for irrecoverable debts: why and how they differ

Answer 9 of 13 · Question 1 part c.ii · 2 marks

2022 JUN · Paper 02 · extract 1 of 3 · find part c.ii in this mark scheme extract

1(a)

Award marks as indicat

Sajjan Income statement for the year ended 30 April 2022		
	$	**$**
Revenue / Sales 165 200 **(1) or** 216 900 **(2)**		216 900 **(2)**
Cost of sales		
Purchases 104 200 **(1) or** 146 700 **(2)**	146 700 **(2)**	
Closing inventory	(36 000)	
		(110 700)
Gross profit		106 200 **(1of)**
Expenses		
Office expenses	18 975	
Motor expenses	5 000	
Rent and rates	13 200 **(1)**	
Wages and salaries	31 000 **(1)**	
Provision for irrecoverable debts	2 585 **(1)**	
Depreciation - motor vehicle	2 000 **(1)**	
		(72 760)
Profit for the year		33 440 **(1)**

(10)

Type MS · Irrecoverable debts and the provision for irrecoverable debts: why and how they differ

Answer 9 of 13 · Question 1 part c.ii · 2 marks

2022 JUN · Paper 02 · extract 2 of 3 · find part c.ii in this mark scheme extract

Question number	Answer	Mark
1(b)	**Award marks as indicated.**	**(10)**

Sajjan
Statement of financial position at 30 April 2022

Assets	**$**	**$**
Non-current assets		
Motor vehicle		38 000 **(1)**
Current assets		
Inventory		36 000
Trade receivables	51 700	
Provision for irrecoverable debts	2 585	
		49 115 **(1)**
Other receivables		1 400
		86 515 **(1)**
Total assets		124 515 **(1of)**
Equity and liabilities		
Equity		
Capital introduced	75 000	
Profit for the year	33 440 **(1of)**	
Drawings	(31 750) **(1)**	
Total equity		76 690 **(1of)**
Current liabilities		
Trade payables		42 500
Other payables		2 100
Bank overdraft		3 225 **(1)**
		47 825 **(1)**
Total equity and liabilities		124 515 **(1of)**

Type MS · Irrecoverable debts and the provision for irrecoverable debts: why and how they differ

Answer 9 of 13 · Question 1 part c.ii · 2 marks

2022 JUN · Paper 02 · extract 3 of 3 · find part c.ii in this mark scheme extract

Question number	Answer	Mark
1(c)(i)	**Award 1 mark for explaining the concept plus marks as indicated for development.** **Sample answer** Prudence concept states that profits and assets should not be overstated and losses and liabilities should not be understated**(1)**. Maintaining a provision for irrecoverable debts ensures that the profit for the year is not overstated **(1)** and trade receivables are not overstated **(1)**.	**(3)**

Question number	Answer	Mark
1(c)(ii)	**Award 1 mark for explaining the concept plus marks as indicated for development.** **Sample answer** Accruals concept states that revenue of the accounting period should be matched against the costs of the same period whether paid or not **(1)**. Maintaining a provision for irrecoverable debts ensures that the amount of sales which are unlikely to be paid are regarded as an expense in the year of sale **(1).**	**(2)**

(Total for Question 1 = 25 marks)

Type MS · Irrecoverable debts and the provision for irrecoverable debts: why and how they differ

Answer 10 of 13 · Question 2 part a.i · 3 marks

2025 JUN · Paper 02 · extract 1 of 3 · find part a.i in this mark scheme extract

Number		
2(a) (i)	**Award 1 mark for an explanation of the prudence concept and up to 2 marks for valid development.** The prudence concept states that profits and assets should not be overstated **(1).** Creating a provision for irrecoverable debts recognises that not all debts will be recovered **(1)** therefore the true value of trade receivables will be shown in the financial statements **(1)**	**(3)**

Question Number	Answer	Mark
2(a) (ii)	**Award 1 mark for an explanation of the business entity concept and 1 mark for valid development.** **Sample Answer** The business entity concept states that the business is treated as being completely separate from the owner of the business **(1)** therefore the business books of account should only reflect the transactions of the business and not the owner's personal expenditure **(1).** **Accept any other appropriate responses.**	**(2)**

Question Number	Answer	Mark
2(b)	**Award marks as indicated** $36 784 **(5) W** **Working**	**(5)**

	$	
Draft profit for the year	37 800	
Rental income in advance	(650)	**(1)**
Goods for own use	280	**(1)**
Depreciation understated	(400)	**(1)**
Provision for irrecoverable debts	(246)	**(1)**
Revised profit for the year	36 784	**(1)**

Type MS · Irrecoverable debts and the provision for irrecoverable debts: why and how they differ

Answer 10 of 13 · Question 2 part a.i · 3 marks

2025 JUN · Paper 02 · extract 2 of 3 · find part a.i in this mark scheme extract

Question number	Answer	Mark
2(c)	**Award marks as indicated.**	**(10)**

Ruhi
Statement of financial position at 31 March 2025

Assets	**$**	**$**	
Non-current assets		21 420	**(1)**
Current assets			
Inventory	14 650		
Trade receivables	12 054		**(1)**
Other receivables	330		
		27 034	
Total assets		48 454	**(1of)**
Equity and liabilities			
Equity			
Opening equity	23 900		
Profit for the year	36 784		**(1of)**
Drawings	(32 580)		**(1)**
Total equity		28 104	**(1of)**
Non-current liabilities			
Bank loan		9 500	**(1)**
Current liabilities			
Trade payables	8 660		
Other payables	2 030		**(1)**
Bank overdraft	160		
		10 850	
Total liabilities		20 350	**(1of)**
Total equity and liabilities		48 454	**(1of)**

Type MS · Irrecoverable debts and the provision for irrecoverable debts: why and how they differ

Answer 10 of 13 · Question 2 part a.i · 3 marks

2025 JUN · Paper 02 · extract 3 of 3 · find part a.i in this mark scheme extract

Question Number	Answer	Mark
2(d)	**Award up to 4 marks for assessment of the ratios. Award 1 mark for a conclusion.** **Sample Answer** While the gross profit percentage has not changed over the three years the profit for the year as a percentage of revenue has worsened **(1)**, which indicates that the business needs to improve the control of expenses **(1)**. The return on capital employed has improved over the same period **(1)** indicating that the business is making better use of the capital invested in the business **(1).** Overall profitability has deteriorated/improved over the three years **(1)** **Accept any other appropriate responses.**	**(5)**

(Total for Question 2 = 25 marks)

Type MS · Irrecoverable debts and the provision for irrecoverable debts: why and how they differ

Answer 11 of 13 · Question 13 part b · 2 marks

2022 JUN · Paper 01 · extract 1 of 2 · find part b in this mark scheme extract

13 (a)	**Award mark as indicated.** Prudence / accruals / matching **(1).**	**(1)**

Question number	Answer	Mark
13 (b)	**Award marks as indicated.** An irrecoverable debt is an amount owing to a business that will not be paid by a credit customer **(1)** whereas a provision for irrecoverable debts is an estimate of the amount which a business will lose in a financial year due to irrecoverable debts **(1).** **Accept any other appropriate responses.**	**(2)**

Type MS · Irrecoverable debts and the provision for irrecoverable debts: why and how they differ

Answer 11 of 13 · Question 13 part b · 2 marks

2022 JUN · Paper 01 · extract 2 of 2 · find part b in this mark scheme extract

<table>
<tr><th>Question number</th><th>Answer</th><th>Mark</th></tr>
<tr><td>13 (c)</td><td>Award marks as indicated.
<table>
<tr><th rowspan="2"></th><th colspan="2">Income statement</th><th colspan="2">Statement of financial position</th></tr>
<tr><th>Income</th><th>Expenses</th><th>Current assets</th><th>Current liabilities</th></tr>
<tr><td>Decrease in provision for irrecoverable debts</td><td>✓ (1)</td><td></td><td></td><td></td></tr>
<tr><td>Balance of provision for irrecoverable debts account</td><td></td><td></td><td>✓ (1)</td><td></td></tr>
</table></td><td>(2)</td></tr>
</table>

TOTAL FOR QUESTION 13 = 5 MARKS

Type MS · Irrecoverable debts and the provision for irrecoverable debts: why and how they differ

Answer 12 of 13 · Question 18 part a · 2 marks

2023 JUN · Paper 01 · extract 1 of 3 · find part a in this mark scheme extract

18(a)	**Award marks as indicated.** An irrecoverable debt is a specific amount owing to a business which will not be paid. **(1)** A provision for irrecoverable debts is an estimate of the amount which a business may lose due to irrecoverable debts. **(1)** **Accept any other appropriate responses**	**(2)**

Question Number	Answer	Mark
18(b)	**Award mark as indicated.** 4% **(1)**	**(1)**

Question Number	Answer	Mark
18(c)(i)	**Award mark as indicated.** $20 750 **(1)**	**(1)**

Question Number	Answer	Mark
18(c)(ii)	**Award mark as indicated.** $830 **(1of)**	**(1)**

Type MS · Irrecoverable debts and the provision for irrecoverable debts: why and how they differ

Answer 12 of 13 · Question 18 part a · 2 marks

2023 JUN · Paper 01 · extract 2 of 3 · find part a in this mark scheme extract

Question Number	Answer	Mark
18(c)(iii)	**Award marks for correct dates, details and amounts in combination. Award 1 mark for label (Income statement) as indicated.**	**(4)**

Provision for Irrecoverable Debts Account

Date	Details	$	Date	Details	$
30 April	Balance c/d	830	1 May	Balance b/d	744 **(1)**
			30 April	Income statement **(1)**	86 **(1)**
		830			830
			1 May	Balance b/d	830 **(1of)**

Question Number	Answer	Mark
18(d)	**Award marks as indicated.**	**(2)**

Account	Non-current assets	Current assets	Non-current liabilities	Current liabilities
Provision for depreciation	✓ **(1)**			
Provision for irrecoverable debts		✓ **(1)**		

Question Number	Answer	Mark
18(e)	**Award 1 mark for identification and up to 2 marks for development.** **Sample answer** Prudence concept states profits/assets should not be overstated **(1)** Creating a provision **profit for the year** will not be overstated **(1)** and **trade receivables/current assets** will not be overstated. **(1)** **Accept any other appropriate responses.**	**(3)**

Type MS · Irrecoverable debts and the provision for irrecoverable debts: why and how they differ

Answer 12 of 13 · Question 18 part a · 2 marks

2023 JUN · Paper 01 · extract 3 of 3 · find part a in this mark scheme extract

Question Number	Answer	Mark
18(f)	**Award mark as indicated. Max 1 mark.** Cash sales only **(1)** Strict credit control **(1)** **Accept any other appropriate response.**	**(1)**

TOTAL FOR QUESTION 18 = 15 MARKS

Type MS · Irrecoverable debts and the provision for irrecoverable debts: why and how they differ

Answer 13 of 13 · Question 17 part b · 5 marks

2025 JUN · Paper 01 · extract 1 of 2 · find part b in this mark scheme extract

17(a)

Award marks for correct figures as indicated.
Award one mark for all correct dates and details.

Trade Payables Control Account

Date 2025	Details	$	Date 2025	Details	$
Mar 31	Cash book / Discount received	945 **(1)**	Mar 1	Balance b/d	26 330 **(1)**
	Cash book	35 780 **(1)**	31	Cash book	160 **(1)**
	Journal / Contra/ Set off	340 **(1)**		Purchases day book	34 570 **(1)**
	Purchase returns (Returns outwards) day book	1 227 **(1)**		Balance c/d	220
	Balance c/d	22 988			
		61 280			61 280
Apr 1	Balance b/d	220 **(1)**	Apr 1	Balance b/d	22 988 **(1)**

(10)

Type MS · Irrecoverable debts and the provision for irrecoverable debts: why and how they differ

Answer 13 of 13 · Question 17 part b · 5 marks

2025 JUN · Paper 01 · extract 2 of 2 · find part b in this mark scheme extract

Question Number	Answer	Mark
17(b)	**Award one mark for identification and one mark for development of each alternative up to a maximum of four marks and one mark for a conclusion.** **Sample answer Option 1** An irrecoverable debt is an amount where there is certainty that the amount will not be paid **(1)** Writing off an irrecoverable debt will result in not overstating the profit for the year **(1)** and not overstating the trade receivables **(1)** thus complying with the prudence concept **(1).** Archie should choose option 1 in order to prepare accurate and fair financial statements **(1)** **Sample answer Option 2** A provision for irrecoverable debts is most appropriate where there is a degree of uncertainty whether or not the debt will be paid **(1)** Making a provision for irrecoverable debt will result in not overstating the profit for the year **(1)** and not overstating the trade receivables **(1)** thus complying with the prudence concept **(1).** Archie should choose option 2 in order to prepare accurate and fair financial statements **(1)** **Accept any other appropriate responses.**	**(5)**

TOTAL FOR QUESTION 17 = 15 MARKS